equity/reserves as possible.

The role of RBI as monetary authority requires it to issue currency and manage the reserve currency base (currency with public and bankers' deposits with RBI). The supply of money is managed by modulating currency issuance and determining the appropriate level of deposits that bankers are required to keep with RBI. Both these are currency issuance and regulatory functions. These functions are discharged by increasing or decreasing money supply. This requires RBI to hold no capital or provisions. In fact, holding capital and provisions are 'non-monetary' in nature. Any funds held by RBI as capital or reserves have to be invested in some assets. Monetary supply cannot be influenced by capital and reserves. The capital, reserves or realized equity have no role whatsoever in the discharge of RBI's function as the monetary authority.

Being the bankers' regulator (not under the RBI Act but under the Banking Regulation Act; in many countries, central banks are not banking regulators) vests RBI with an important role in maintaining credit and financial stability. It is also a 'lender of last resort'. As a central banker, it can provide liquidity/credit to banks even when the credit system has frozen and banks are in danger of collapsing on account of a liquidity squeeze. RBI discharges this function by creating more money—by issuing more currency or increasing banks' deposits with itself—to be used whenever banks need. Both these measures of coming to the rescue of bankers, however, do not require RBI to use any capital. It uses its monetary authority, not capital, to discharge these functions.

An argument has been made in the Bimal Jalan Committee report that RBI might suffer loss on the credit it provides to banks as a lender of last resort in case banks default. Banks never default to the central bank. Even when banks go bankrupt, while equity holders and depositors may suffer, the central bank is unlikely to face default. The government might have to pump in capital but the central bank never suffers. RBI has never faced such